

If the rate for a 2 year FD was 7.25% when you invested in your 4 year FD, and if the penalty is 1%, you would actually get an interest of 6.25% per year for the 2 years you have kept the money with the bank (and not 7.25% or 8%).

Considering the above penalties and reduced interest rates, it may be wise to calculate on a case to case basis to decide whether it is worth "breaking an FD" and investing in a new fixed deposit or waiting for your FD to mature.

The following thumb rules may help you to take a decision:

- Breaking the FD and reinvesting the sum in a higher interest earning FD is positive only when the original FD is relatively newer – in which case, the penalty amount is not very high. If the original FD is old or nearing maturity, it is best to continue with it and reinvest the money only when it matures.
- If the difference in the rate of interest between the two fixed deposits is very high, it might be worth doing the exact calculation for your case.

In general, it is rarely worth the effort of "breaking an FD" and going in for a new one just for the sake of a higher rate of interest.

Fixed Deposit Laddering Technique

We all know that the interest rate on Fixed Deposits keep varying over time. While that is true with most investments, we must have a strategy to make sure that we get as consistent rate of return as feasible, so that the returns from our corpus are not impacted heavily because of change in interest rates. We can be more sure of a consistent stream of income from Fixed Deposits by leveraging a concept called as "Laddering of Fixed Deposits".

Laddering is a process by which an annual stream of FDs is created for a long period. Let us take an example. You can create a stream of 5-6 FDs each year (one FD every 2 months interval), and do this for 5 years and